

The Part of Friday You Control

The S&P sits almost exactly mid-range, two days before a CPI print the oil market has already made hotter.

THE READING

Friday's settle is still the last word. The S&P 500 closed at 7,718.60, down 0.38%, and Monday's Labor Day left that number standing for a fourth day. Inside Hedgeye's 7,632–7,781 risk range it sits at 58.1%: 62.60 points to the floor, 62.40 to the ceiling. Symmetry to a fifth of a point.

Around it, nothing is symmetric. Fed funds futures price roughly a 57% chance of a rise on 16 September. WTI is 92.61 after Iranian attacks on tankers in the Strait of Hormuz, 79.6% of its band; Brent touched 98.05. The ten-year is 4.784%, near the top of a 4.63–4.84 band. August CPI lands Friday. The market is expressing patience, and the evidence is the September VIX future at 16.30, one point over spot.

WHAT WISDOM WOULD SAY

The Enchiridion opens with a division. Some things are up to us, Epictetus says, and some are not: judgement, desire and our own actions in the first category; the body, reputation, office and everything external in the second. The trouble, on his account, comes from treating the second as though it belonged in the first. He was not counselling passivity. He was making a claim about where effort earns a return.

Friday's print is in the second category. No amount of reading it out of crude, or out of a 3.55% inflation nowcast that pre-dates the weekend's attacks, moves it by a basis point. The 57% is not a forecast anybody owns; it is the price of a bet, and the number will revise it rather than the other way round.

What sits in the first category is narrow and real: how much is on, how it is sized, whether protection is arranged before the print or after it, and whether the response to each outcome is written down while the outcome is still unknown. Those are this morning's decisions. The number is not one of them.

THE RISK IT JUSTIFIES

Mid-band pays nothing for a scheduled event three sessions out — the same distance either way, with a known catalyst inside the window. That argues against adding index exposure today, and for treating the balance as a reason to leave sizes alone rather than a reason to lean.

It also argues that protection is cheap relative to the calendar. A one-point premium on the September VIX future, with a CPI print and an FOMC inside the fortnight, is a curve that has not priced what is on it. Anyone who wants less exposure on Friday than they hold today will arrange it more cheaply this morning than on Thursday afternoon.

Refusing counts too. The loudest temptation is memory: DRAM contract prices forecast up more than 50% this quarter, Korea +4.61% on Monday, Asia repriced while US futures have not. Chasing a four-day-old move into a print is the thing to decline.

What would change the answer: the S&P leaving 7,632–7,781, or the ten-year clearing 4.84%. Either ends the symmetry, and the reasoning goes with it.

What will you wish, on Friday evening, that you had settled this morning?